

Market-Based	Allow ladder length to fluctuate based on market performance. For example, extend ladder by more when the stock market has performed well or market valuations are high, but let ladder length decrease without extension after poor market performance or low market valuations
Personalized	Conduct a capital needs analysis for how much wealth should remain in each year of retirement to meet goals. Extend ladder when actual wealth exceeds the requirement. Let ladder length decrease when actual wealth is falling short.

Retirement income bond ladders are divided between one-time ladders and rolling ladders. “One-time ladders” are divided into three types differentiated by the length of the ladder. The shared characteristic between all types of one-time ladders is that they can be spent down over time. The bond ladder is not extended as bonds mature, gradually reducing the length of the bond ladder as time passes.

A short-term bond ladder might be used for something like building a Social Security delay bridge for someone looking to temporarily generate more retirement income for the period that they wait before collecting Social Security benefits. As a part of delaying benefits to age seventy, a sixty-two-year-old might build an eight-year bond ladder that generates income equivalent to the reduced age sixty-two Social Security benefit level. This extra income is not needed after Social Security benefits begin, so the ladder is allowed to wind down naturally.

For a medium-term one-time bond ladder, the classic example is to combine a bond ladder with longevity insurance through a deferred-income annuity. Bond ladders expose retirees to longevity risk if you live past the ladder’s end date. To account for this, S. Gowri Shankar developed an alternative of combining a twenty-year TIPS ladder with a deferred immediate annuity (DIA) that begins payments twenty years after the retirement date in his 2009 article, “A New Strategy to Guarantee Retirement Income Using TIPS and Longevity Insurance.” He did this to provide longevity protection with a smaller amount of annuitized assets. With this strategy, the bond ladder is again allowed to wind down, because the deferred-income annuity replaces the lost income precisely when the bond ladder terminates.